A CONTRACT REVIEW GUIDE

Office of Sponsored Programs
University of Idaho

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I. PREFACE

Following are a list and description of terms and conditions that should be negotiated out of or into agreements for research. Some of the sections also include suggested language to use. Other sources for sample language are previous agreements, the University's standard agreements, and agreements used by other institutions of higher education. Talk to the Contract Review Officer if the sponsor will not agree to the University's alternate language.

NOTE: Post Award is responsible for reviewing the 4 D's:

1) **Dollars** – that the contract amount is correct & payment terms are acceptable. They coordinate payment term language with the financial unit. This is not CRU's responsibility!
2) **Dates** – Post Award reviews the project dates & verifies with the PI that they are correct. Post Award may ask for a change to the project dates.
3) **Deliverables** – Post Award coordinates the project deliverables stated in the **contract** with the PI to verify that they are accurate.

4) **Documents** – are all the references documents included in the agreement? Post Award makes sure the Prime is included (if applicable) as well as all exhibits or attachments.

II. Accept or Reject Work

It is common for commercial contracts for services to include a clause that allows the Buyer to accept or reject work, or to require non-conforming work to be re-performed or corrected at no additional expense. These requirements are not acceptable for a research university because the work is research and subject to scientific processes. The University cannot guarantee that the results are what the Sponsor wants, nor with the University change the results to meet the desired outcomes of the Sponsor. This language should be removed. Ask the intentions of the Sponsor to come up with some language that will meet the needs or concerns of both parties.

For agreements with Battelle – Idaho National Laboratory, the Scope of Work frequently has language about accepting the work. UI and INL have agreed on the following language that must be added to the SOW (UI must add this language because INL does not): Receiving of deliverables and approval from the BEA Technical Point of Contact is required for completion and final acceptance. Acceptance shall not be unreasonably withheld and shall be determined based on the requirements stated in this release (including all applicable documents).

Also see section XXVIII Inspection & Acceptance.

III. Animal Research

Research involving animals must be approved through the University's IACUC coordinator. If a project involves animals or animal specimens, check EIPRS to be sure this has been brought to the IACUC coordinator's attention.

Export/imports of animal specimens may be a violation of export control laws. Work with the export control analyst to resolve.

IV. Arbitration or Dispute Resolution

Arbitration is costly and arbitration clauses often give up the state entity's right to sovereign immunity. Given this, the University chooses not to agree to arbitration terms and conditions without review by University legal counsel.

Negotiation strategies for Arbitration:

1) Replace with UI SRA Dispute Resolution language below.

   "Any and all claims, disputes or controversies arising under, out of, or in connection with this Agreement, which the parties hereto shall be unable to resolve within sixty (60) days, shall be mediated in good faith by the parties respective Vice Presidents for Research or equivalent.

Nothing in this Agreement shall be construed to limit the PARTIES' choice of a mutually acceptable dispute resolution method in addition to the dispute resolution procedure outlined above, or to limit the PARTIES' rights to any remedy at law or in equity for breach of the terms of this Agreement and the right to receive reasonable attorney's fees and costs incurred in enforcing the terms of this Agreement."

2) Change the arbitration to "may" and insert "Nothing in this contract shall be construed to limit the Parties' rights to any remedy at law or in equity for breach of the terms of this Contract …"

3) If sponsor insists on retaining arbitration, ensure sovereign immunity is not released (see the "Sovereign Immunity" section) and have arbitration secondary to a dispute resolution panel. **This must be reviewed by University legal counsel**.

V. Assignment of Agreement

Shall not assign v. assignable

VI. Attorney's Fees

If payment of attorney fees is presented within an agreement, then payment should be remitted by the prevailing party and payment should be only for REASONABLE attorney fees. Be sure the contract includes "Reasonable" with the text.

If a party tries to state in the agreement a specific rate for reasonable attorneys fees coordinate this with the Office of General Counsel or strike it. The Nevada Division of Natural History had a contract with UI that attempted to set the reasonable rate as $150. However, this is extremely low for UI because UI must retain outside counsel and cannot use the state Attorney General's Office like most state agencies.

If working with another Idaho state agency or political subdivision and attorney's fee language is proving difficult, consider Idaho Code section 12-117(4) and whether it is even necessary to address attorney fees in the contract.

VII. Background Checks

The University may not be able to comply with background check requirements. If an agreement requires a researcher to have a background check to work on the project make sure the standards for the background check are consistent with the University's policy on background checks. Best practice is to revise the language so that any background checks are carried out consistent with the University's policy for background checks. If possible, the budget for the proposal should include the costs of the background checks. If the budget does not include background check costs, coordinate with Post Award to see

if these costs are can be added or ensure the department knows they are responsible for those costs.

Per an email from HR (05.18.2018), the below are what UI's background checks search:

- A 10 year history for felonies and misdemeanors (State & County level)
- Social Security Trace (searches for aka's & alias, also previous address history)
- Social Security Validation (verifies that it is a valid social)
- National Sex Offender Registry
- Widescreen Plus National Criminal Searches.

Coordinate these terms as needed with General Counsel, the director of OSP, and HR.

VIII. Cattle or Dairy Contracts

(NCBA, IBC, UDA, etc.) These have VERY problematic clauses. Unfortunately, they are Non-negotiable. 1) Review must occur by Office of Technology Transfer at proposal stage to verify NO Intellectual Property. ONLY then, will we submit. 2) At award stage, confirm that OTT has reviewed. If yes, go to step 3. If no, have OTT review and then go to 3. 3) An Acceptance of Responsibility document MUST be completed for ALL of these agreements and must be returned signed by ALL personnel prior to OSP signing the agreement.

IX. Compliance with Sponsor Internal Rules or Regulations

The University of Idaho generally should not agree to comply with a Sponsor's internal rules and requirements. Agreeing to rules or policies of an entity outside the Idaho government could create a conflict between the State law & University policies and the Sponsor's policies. Instead, UI should only be required to comply with State/University policies and laws. Insert language similar to the below that instead requires UI to comply with the state or university standard.

"University will comply with the Ethics in Government Act (Idaho Code §§ 18-1351 et seq.), the University's policy on Responsible Conduct of Research Education (Administrative Procedures Manual, 45.21), and any other University policies or state law related to ethics."

[This language was used to replace a clause that attempted to require UI to comply with Merck's Professional Conduct and ethics policies.]

Coordinate with General Counsel if the sponsor refuses to strike the requirement to comply with its internal rules or policies.

X. Confidentiality

The agreement, nature of the agreement, data or information gathered or produced under the agreement cannot be identified as confidential information. If a definition for Confidential Information includes any of the above, attempt to either strike the references to these items, or replace the definition of Confidential Information with the UI SRA definition. If the Sponsor claims research data is Sponsor Proprietary Information the Fundamental Research Exemption may be **void**.

The University does not agree to initiate separate non-disclosure agreements with its faculty. If a request is made for the University to have written agreements binding their employees to the terms of an agreement, negotiate with the sponsor to either include the SRA confidentiality language or to enter into a Confidentiality agreement with the University naming the individuals receiving the information or indicating that the Confidential Information will be distributed on a "need to know" basis. University employees can "Acknowledge" their understanding of the terms.

Some agreements may refer to information being in "strict confidence" (See Idaho Department of Education agreements). This language typically is not a problem, but be sure to review the language to ensure it is not requiring UI to comply with a specific standard that UI is not capable of.

UI must acknowledge the existence of the agreement in its normal reporting and to comply with the Idaho Public Records Act. Add the following language or something like unto it ensure UI's compliance with state law requirements: "Neither Party shall be liable to the other Party for the disclosure of Proprietary Information that is required to be disclosed under operation of law, including but not limited to the Idaho Public Records Law, Idaho Code §§74-101 thru 74-126." ***NOTE: Public records requests must be responded to within three days!

XI. Conflict of Interest

University employees shall avoid situations that may result in a conflict of interest with the potential to directly or significantly affect the University's interests, compromise objectivity in carrying out University responsibilities, or otherwise compromise the performance of University responsibilities. In the event of a conflict, Federal guidelines and regulations may permit University personnel to participate on the project so long as a plan has been put into place by the University Conflict of Interest Coordinator in the Office of Research Assurances. UI's COI policy is located at FSH 6240 http://www.webpages.uidaho.edu/fsh/6240.html .

The University cannot agree to language that requires the University to agree that "*no public or private interest exists and none shall be acquired directly or indirectly which would conflict in any manner with the performance of this agreement*." This language is adverse to UI's police and does not allow work to go forward even if a Plan is in place. Instead, insert the following or work with the Conflict of Interest Coordinator to draft some acceptable language: "University states that it does not have any unmanaged

conflicts and that it will not acquire, directly or indirectly, any unmanaged conflicts that would conflict in any manner with the performance of this agreement."

XII. The Cooperative Research & Technology Enhancement Act (CREATE Act)

The Council on Government Relations drafted a brochure that explains the purposes, benefits, and pitfalls of the CREATE Act that is available here: http://cogr.edu/Intellectual-Property

Do not agree to remove the University's standard language about the CREATE Act form the agreement. An unintended consequence of the Act is that a party to a research agreement can lose the ability to further develop existing intellectual property or develop new property that is related to the new patent. Parties must give each other notice if they intent to invoke the Act so implications on IP can be determined.

XIII. Equipment

Ownership will depend on the sponsor. Review of terms regarding equipment should involve the following:

- Definition of equipment – is the definition consistent with federal/state law?
- Does the University have to maintain the equipment?
- Are the inventory requirements burdensome (over and above University system requirements)?
- If the Sponsor retains ownership of equipment, negotiate costs for returning such equipment.

Do not agree to language that indicates the University shall return the equipment in the same condition as received – this is impossible. There needs to be an allowance for normal wear and tear.

Export Control Considerations: Contact the Export Control Analyst if any of the following apply to the equipment involved in the project.

- contract includes travel with equipment to foreign countries
- Use of ITAR controlled items will be used to conduct fundamental research
- University will receive/use controlled technology or technical data as background information or for operation of 500 or 600 series items.

XIV. European Union

Contact UI's General Counsel for any agreements Ui enters into with an entity or county in the European Union. The General Data Protection Regulation (GDRP) went into effect in May 2018 and may require UI to comply with requirements regarding protection and use of personal identifying information. See https://gdpr-info.eu/ & https://gdpr.eu/what-is-gdpr/ if you want more information about GDRP.

XV. Export Controls

Review contracts to ensure that they conform to the following:

- No restrictions on publication. *(See the Publication section for more information about publication restrictions).* Also see National Security Decision Directive 189 (NSDD-189, September 21, 1985. However, **no publication restrictions ≠ No export control concerns.**
- No restriction on foreign persons or foreign national participation or access
- Agreement should reflect that export controlled technical data or technology is not being sent/released/disclosed to university.
- Contract should specify that the party disclosing export-controlled technical data or technology is responsible for making or otherwise identifying it prior to disclosure *[regulations do not require this, so make sure the contract does]*.
- Contract should specify that the party disclosing export-controlled technical data or technology is the U.S. Principal Party in interest (USPPI) or "exporter of record."
- Refusal to accept export-controlled technical data or technology shall not constitute a breach of contract.

These terms ensure the work is exemption under one of the Exemptions for universities (see below). **Do accept language contrary to the above without coordinating with the Export Control Analyst**.

a. Export Controls Background

Export Control laws regulate:

- the distribution of technologies, equipment, hardware, and software, and
- The provision of technical assistance to foreign nationals, foreign countries, and listed individuals & entities, and
- Payments and services to listed individuals, entities, and comprehensively sanctioned countries.

These laws are in place for national security and foreign policy reasons. Export Control laws apply to all activities, not just sponsored research projects. The purposes of these laws are to prevent terrorism, honor trade agreements, prevent proliferation of WMD's, and strict the export of goods/technology that contribute to the military potential of adversaries. Failure to comply with export control laws can result in debarment, criminal penalties, and civil penalties.

An export occurs when data, information, material, equipment, etc. is sent outside of the United States. The export can be physical, deemed, or defensive. These exports can occur by email, telephone, travel, ship, airplane, online chats, etc. Before anything can be exported the Export Control Analyst must to an analysis to determine if the export requires a license from the federal government or if an exemption applies. If an exemption applies a license is not needed.

b. Exemptions

Many university activities and research projects are NOT subject to export controls/foreign national restrictions. This is because there are 3 exemptions that make a license unnecessary for most university activities and research. These exemptions are:

- **Public domain/publicly available information**
  - Information lawfully placed in the public domain is exempt from export control regulations.
    - Examples: materials/information in newspapers, magazines, libraries, presented at publicly available conferences, trade shows; most publicly available technology & software; websites that are accessible to the public for free and without the host's knowledge or control of who visits; published patents.
- **Educational Information**
  - General science, math, and engineering commonly taught at schools & universities (22 CFR 120.22)
  - Information conveyed in courses listed in course catalogues and in their associated teaching labs of any academic institution. (15 CFR 734.9)
- **Fundamental Research**
  - If the below are met, the results of the research are not subject to ITAR/EAR restrictions even if the subject area of the research appears on the USML or CCL.
    - Basic or applied research at an accredited institution of higher learning in the U.S.
    - No publication restrictions
    - If federally funded, no access or dissemination restrictions on results.
  - University based research is **not** considered "fundamental research" if the university or its researchers accept (at the request, for example, of an industry sponsor) other restrictions on publications scientific and technical information resulting from the project or activity. See Confidentiality section for more information.

Technology Control Plan

If a research project is subject to export control regulations the university will need to put a Technology Control Plan in place. The purpose of this plan is to detail how the University will protect the information to ensure compliance with export control laws. The Export Control Analyst will draft the plan with the PI.

There are 3 types of Technology Control Plans:

- Institutional: organizational document is approved at the highest level and defines the entire organization's program for safeguarding information. It remains in place for as long as the organization is responsible for protecting the information or material.

- Project Specific: defines how information or materials will be safeguarded specifically to a program or project's requirements. It exists as long as the specific project is active.
- Laboratory or Physical Area: Defines controls for a particular area where information from various programs or projects will be safeguarded. It exists as long as the area is being used to safeguard controlled information or materials.

XVI. FAR, CFR, & DFAR Clauses

Following are a few of the FAR and other regulations that need to be modified or struck before UI can accept them. This list is not comprehensive; be sure to review all regulations or statutes references in the agreement and the following websites: https://www.research.usf.edu/dric/export-controls/troublesome-clauses.asp; http://louisville.edu/research/exportcontrol/resources/troublesome-clauses

- **49 CFR §1520.5 Sensitive Security Information**
  - IMPORTANCE: this is a publication restriction.
  - ACTION: get it removed.
- **FAR 52.204-2, Security Requirements:**
  - IMPORTANCE: this applies when University may require access to classified information and the classification level of the contract increases. Clause requires contractor to continue with effort despite the classification restrictions. Alternate I gives universities and colleges the option to de-scope or terminate for convenience.
  - ACTION: Request to delete on the basis that that classified information will not be utilized. Otherwise, request inclusion of Alt. 1. Alt. 1 allows the university to terminate the contract if it cannot comply with the security classification.
- **FAR 52.204-21, Basic Safeguarding of Covered Contractor Information Systems (Jun 2016)**
  - IMPORTANCE: this clause requires the University to take certain precautions and safeguards to protect covered information, including "federal contract information", provided by the Government.
  - ACTION: contact the Export Control Officer to see if a Technology Control Plan will be required for the project.
- **FAR 52.212-4, Contract Terms & Conditions – Commercial Items.**
  - IMPORTANCE: this clause replaces many other clause, because it includes them by reference. Means the contract officer is looking at this as a purchase of commercially available goods and services rather than research.
  - ACTION: Get removed. Replace with standard FAR clause for R&D (Part 35). Otherwise, get changes to 52.213-4 and negotiate to remove undesirable requirements.
- **FAR 52.213-4, Contract Terms & Conditions – Simplified Acquisitions**
  - IMPORTANCE: this clause replaces many other clause because it includes them by reference.

- ACTION: replace with standard FAR clause for R&D. Otherwise, negotiate to remove undesirable requirements (e.g. termination for default, warranty, etc.).

- **FAR 52.216-7**: add Alt II. This makes the A-21 apply.
- **FAR 52.216-15**:
- **FAR 52.219-9, Small Business Subcontracting Plan**
  - IMPORTANCE: Creates a good faith effort assurance for adherence to planned small business purchasing goals set by the developed plan and required reporting.
  - ACTION: monitor purchasing requirements closely and target opportunities intended to meet goals set by the accepted plan.
  -
- **FAR 52.232-17, Interest**
  - IMPORTANCE: Would require more than just re-paying inappropriate or unallowable costs adds interest payment to be paid from other source funds.
  - ACTION: Request removal pursuant to 32.611 as inappropriate. Non-profit educational institutions are exempt under item 5.
- **FAR 52.227-1, Authorization & Consent:**
  - IMPORTANCE: Protects the contractor from being sued by 3rd parties for patent infringement related to contract performance.
  - ACTION: Request Alt. I to expand permitted uses to all inventions covered by any US patents. Request removal of Patent Indemnity clause if included.
- **FAR 52.227-3, Patent Indemnity:**
  - IMPORTANCE: Creates the potential risk or exposure to significant liability that may accrue to the Contractor related to infringement of patents owned by 3rd parties.
  - ACTION: **Remove** on basis of uses permitted under Authorization and Consent, Alt. I.
- **FAR 52.227-11: Patent Rights.**
  - IMPORTANCE: Specifies minimum rights of government to inventions under contract; establishes contractor's rights to same, and minimum requirement to maintain them; prohibits higher tier contractor from mandating rights in subcontractor inventions as a condition of issuing subcontracts.
  - ACTION: **Make sure this is included in contracts & federal funds accepted by UI**. Do not use 52.227-12 because that clause is for For-Profits. Do not allow substitution of sponsor for Government when subcontracting.
- **FAR 52.227-12:**
  - ACTION: strike and ask to replace with FAR 52.227-11; this is Bayh-Dole for universities and non-profits.
- **FAR 52.227-14, Rights in Data:**
  - IMPORTANCE: Specifies government's right to data & copyright; contractors may claim copyright in scientific articles first produced,

but must request permission from government to establish claim to other works of authorship; Alternate IV allows ownership of all copyrights, without prior approval, by university and college contractors performing basic R&D.
    - ACTION: Request inclusions of Alt IV. Do not allow "sponsor" to be substituted for "Government" when subcontracting.
- **FAR 52.227-17, Rights in Data-Special Works:**
    - IMPORTANCE: Represents an absolute restriction on the publication or dissemination of contractor generated data that should not apply to basic & applied research.
    - ACTION: **REMOVE** based on exceptions to the clause's applicability.
- **FAR 52.242-15, Stop Work Order**
    - IMPORTANCE: If you receive one of these orders, make sure you notify all concerned individuals, including subcontractors. Contractor will be reimbursed for additional costs, if adjustment proposal submitted within 30 days of end of stop-work period.
    - ACTION: try to get this removed; otherwise, try to get government to reduce period of stop work to 30 days (default is 90 days). Make sure to flow down this clause!
- **FAR 52.246-9, Inspection R&D:**
    - This is reasonable if used by itself, however, including clauses 7 or 8 adds requirements most cannot met, including an inspection system, possible implied warranties, and government right to reject.
    - **Accept only clause -9.** Clauses 7 & 8 add requirements most cannot meet. Can flow down 7 or 8 if a sub is a large government contractor.
- **DFAR 252.204-7000, Disclosure of Information (DEC 1991):**
    - IMPORTANCE: requires Government prior approval to publish or disseminate. Restricts University ability to publish, dissemination of research results, and free scientific exchange. Export licensing may be required for foreign national participation in research.
    - ACTION: Request removal. Cite University policy, NSDD-189, Undersecretary of Defense Memo dated 5.24.10. Argue that work is basic or applied research and 7000 does not apply. Also note IRS Ruling 76-296. Include documentation that this has been negotiated with the Contracting Officer at the Prime level.
- **DFAR 252.204-7000 (AUG. 2013):**
    - IMPORTANCE: requires the DOD program office to confirm in writing that the project is classified as fundamental research and that publication and dissemination of information can be done without restriction. ***Contact the Export control Officer for further review and assistance if this is included in a contract***.
- **DFAR 252.204-7008 (July 2008):** [cancelled by April 2010]
    - IMPORTANCE: stipulates that export controlled items will be created under the contract.

- ACTION: ensure that university can comply with export control requirements. Otherwise, get it removed.

- **DFAR 252.204-7008 (April 2010):**
  - IMPORTANCE: stipulates that the organization must comply with applicable U.S. export laws. **Cancelled the July 2008 DFAR 252.204-7008.**
- **DFAR 252.204-7009:**
  - IMPORTANCE: Requirements regarding potential access to export-controlled items. Must notify the Contracting Officer if university becomes award that it will generate or need access to export-controlled items.
- **DFAR 252.225.7048 (June 2013):**
  - IMPORTANCE: Requires contractors to comply with applicable laws and regulations regarding export-controlled items, including requirement to register with Dept. of State (according to the ITAR) and consult with them on any questions relating to compliance with EAR.
- **DFAR 252.246-7001, Warranty of Data:**
  - IMPORTANCE: Penalties include correction of data at contractor's expense, or reimbursement to gov't. Also liability for any damages incurred by gov't.
  - ACTION: Negotiate removal on basis of inappropriate for basic research, and university rates do not include the cost of deferred liability associated with warranties.
  -
- **DFAR 252.204-7012, Safeguarding Covered Defense Information & Cyber Incident Reporting (Dec. 2015)**
  - IMPORTANCE: requires University to take specific steps to protect any information developed (including by the University) or provided by the Government that qualified as Covered Defense Information.
  - ACTION: contact the Export Control Officer to do an analysis on whether a Technology Control Plan is required for the University's work.
- **ARL 52.004-4400**: restricts foreign nationals from participating
- **AFMC 5352.227-9000**: Restriction Foreign nationals.
- **DEAR 952.204-71**: restricts foreign nationals.
- **FAR 52.227-17**: publication restriction.

XVII. Flow Through Loss Provisions

Language that indicates that the University will only be paid if the Sponsor gets paid by their prime sponsor or once their prime sponsor pays them is generally not acceptable. We can however agree to language in regards to disallowed costs. *"If costs are unallowable by the Sponsor award, Prime Sponsor flow-through terms or by Federal*

Regulations, University shall repay the amount of the unallowable cost or the disallowed portion shall be deducted from subsequent payments." In very special circumstances, and only with Vice President for Research approval, we will agree to payment only if Sponsor is paid by the prime. Note that the Unit accepting the award must take responsibility for such risk.

XVIII. Foreign Government Talent Recruitment Program (FGTRP)

This regulation requires
Process

- Send email to Export Control Office notifying him of the requirement
- Send update to Post Award Administrator for the contract if they have not noted this; update them and tell them not to sign the agreement until the necessary information and paperwork is received.

BSU has taken objection to this clause for an equitable adjustment.

XIX. Foreign National Restrictions

Language restriction the participation of Foreign Nationals may void the Fundamental Research Exemption. Look out for the following limitations and negotiate to get them removed:

- Contract requires Sponsor approval for foreign national participation
- Contract restricts foreign national access to the research data
- The University certifies that, by signing the contract, no foreign nationals are working under the contract.

If the Sponsor will not remove the above restrictions or requirements, work with the Export Control Analyst to resolve.

Foreign national restrictions on federal fellowships and training grants that do not otherwise restrict publications are considered fundamental research and are NOT subject to export controls.

Why? NIH fellowship and training grants: *"help ensure that a diverse and highly trained workforce is available in adequate numbers and in the appropriate research areas and fields to carry out the nation's biomedical and behavioral research agenda" and "no restrictions should be placed on the publication of results""* [AUECO, Export Controls 101, June 7, 2015]

XX. General Data Protection Regulation – GDRP

GDRP is a data protection/privacy law enacted in the European Union. It was effective as of May 25, 2018. However, this regulation applies to any entity that processes personal data in the EU, processes the personal data of someone in the EU, or processes personal data in a place were EU Member State law applies by virtue of public international law (Art. 3 GDRP "Territorial Scope"). ***If you run into an agreement that invokes or appears to invoke GDRP immediately contact the Office of General Counsel***.

This regulation could apply to UI if UI does research that involves collection of personal data of an EU citizen.

GDRP requires:

- Consent: A business must get explicit consent before processing/collecting personal data. The request must be in clear language and must be given for a specific purpose; blanket consents are not allowed.
- Breach Notification: individuals must be notified with 72 hours of a breach of their personal data.
- Right to Access: individuals have the right to view and access their personal information collected by a business/entity.
- Right to be Forgotten: individuals can request that their personal data be erased.
- Data Portability: individuals have the right to view previously provided personal at in a commonly used and machine-readable format. They can also request that their personal data be transferred from one business to another.
- Privacy by Design: personal data will be shared on a "need to know" basis.
- Data Protection Officers: some businesses may be required to have a Data Protection Officer.

Links to more information about GDRP are below.
https://www.techrepublic.com/article/the-eu-general-data-protection-regulation-gdpr-the-smart-persons-guide/ - Basis information & cheat sheet

https://gdpr-info.eu/art-3-gdpr/ - The GDPR Regulations

XXI. "Good Laboratory Practice"

If you see a requirement for the University to comply with "Good Laboratory Practice" it must be struck from the contract.

Good Laboratory Practice(s) are overseen by the Food & Drug Administration and are regulatorily established laboratory standard and practices for conducting nonclinical laboratory studies (in vivo or in vitro experiments) that support or are intended to support applications for research or marketing permits for products regulated by the FDA. Examples of products regulated by the FDA that require this certification food and color additives, animal food additives, human and animal drugs, medical devised for human use, biological products, and electronic products. GLP does not apply to basic exploratory studies carried out to determine whether a test article has any potential utility or to determine physical or chemical characteristics of such products.

The University's statement on GLP can be found here on the Biosafety Website.

XXII. Governing Law, Jurisdiction and Venue

Since the University is a state institution of higher education, the University only agrees to Idaho state law and venue.

Negotiation strategies for Law, Jurisdiction and Venue:

1) Change to Idaho state law with venue in Latah County
2) Agreement is subject to applicable federal and state laws
3) Remain silent by striking references these items
4) Contact University legal in regards to a risk assessment to accept law, jurisdiction and venue outside of Idaho State (see Acceptance of Responsibility Form).

XXIII. Hold Harmless

The University cannot agree to language that requires it to "hold harmless" and entity from any claims that arise under a contract, including patent infringement claims. Negotiate to have this language struck from the agreement.

XXIV. Humans Subjects Research

Any research involving human subjects must have approval from the Internal Review Board. Post Award generally checks this and coordinates this with the IRB Coordinator. But, be aware of language that may indicate human subject research that has not been approved.

XXV. Indemnification

The University is not permitted to indemnify or hold harmless (Idaho Code 6-901 through 6-929). Strike the clause and replace with the following: "Each party assumes all risks of personal injury, bodily injury including death, and property damage caused by the negligent acts or omissions of that party. UNIVERSITY liability shall be commensurate with the limits established by the Idaho Tort Claims Act, Idaho Code §§ 6-901 – 6-929. The University's liability under this section is not deemed to obligate the state of Idaho to any future appropriation of funds in violation of Idaho Code § 59-1016."

The University also does not indemnify others (subcontractors, consultants, etc.). Instead, indemnity provisions must flow through. If indemnification language is removed during negotiations with the Prime entity, this will not be a problem. University may agree to indemnify only in limited situations when it is required by the federal government. These situations must be coordinated with General Counsel. If the agreement is with another Idaho State Agency use the language below in section 2. However, there is an exception. See Warranties, section XXXVI.

If a standing agreement contains an indemnity provision that the University agreed to in the past add the following if the clause cannot be negotiated out: "The University's indemnification under section … of the Master Agreement is limited such that nothing

therein shall be deemed to obligate the state of Idaho to any future appropriation of funds in violation of section 59-1016, Idaho Code."

If the above language is not acceptable, use the following as a last option or discuss with the Director of OSP and/or General Counsel:

1) Subject to the limits of liability specified in Idaho Code 6-901 through 6-929, known as the Idaho Tort Claims Act, University shall indemnify and hold Indemnitee, its agents and assigns, harmless from and/or against any and all claims, damages, and liabilities (including reasonable attorney's fees) that may be suffered or incurred and that arise as a direct result of and which are caused by the University's possession, operations, or performance under this indemnification agreement. *T*he University's liability under this Agreement is limited such that nothing therein shall be deemed to obligate the state of Idaho to any future appropriation of funds in violation of section 59-1016, Idaho Code

   This indemnification does not apply when such claims, damages and liabilities are the result of negligent acts, errors, omissions or fault on the part of Indemnitee, its agents or assigns - including conditions of Indemnitee's premises, or when the claim or suit is made against Indemnitee by the University, the State of Idaho, or any of its agencies.

   Indemnitee shall promptly notify University of any such claim of which it has knowledge and shall cooperate fully with the University or its representatives in the defense of the same. Such notices shall be submitted to: University of Idaho, Attn: Risk Management Officer, PO Box 443162, Moscow, ID 83844-3162.

   Evidence of financial responsibility will be provided upon request and will consist of a Certificate of Financial Responsibility.

2) **If the agreement is with another state agency, use the following:**
   Self-Insurance The agencies understand that each is insured with respect to tort liability by the State of Idaho Retained Risk Account, a statutory system of self-insurance, and are subject to the Idaho Tort Claims Act. Each agency agrees to accept that coverage as adequate insurance for the other party with respect to personal injury and property damage.

   Liability The agencies agree that any tort liability claim, suit or loss resulting from or arising out of the parties' performance of any activities under this contract shall be allocated, as between the state agencies, in accordance with law by the Office of Insurance Management for purposes of the respective loss experiences and subsequent allocation of self-insurance assessments. Each party to this contract agrees to notify the Office of Insurance Management and the other agency in the event it receives notice or knowledge of any claims arising out of the performance of, or the agencies' activities under this contract.

If the indemnification provision is with a federal agency, the Idaho Attorney General recommends the following language with modifications as necessary to meeting the University's requirements (https://www.ag.idaho.gov/content/uploads/2019/11/Opinion-19-1.pdf). Coordinate with UI's General Counsel before sending to the Federal Agency:

Allocation of Risk. Federal Entity and Idaho Agency shall be responsible only for the acts, omissions or negligence of such party's own employees and agents. Nothing in this Agreement shall extend the tort responsibility or liability of the State of Idaho or the United States beyond that required by law, including for the State of Idaho the Idaho Tort Claims Act, Idaho Code section 6-901, et seq.

Each party shall be responsible for damage to property of the other party caused by its employees and agents in the performance of the Agreement. If a property claim or damage is not covered by the party's self-insurance or other

property coverage, the responsible party shall pay the costs arising from such claim or damage to the extent funds are legally available therefor. If a claim or damage arises from more than one party's performance of the Agreement or is not allocable to any party, each party shall pay the costs to such party arising from the claim or damage.

Insurance. Insurance requirements in the Agreement may be evidenced by a Certificate of Financial Responsibility or other evidence of a self-insurance or a pooled or cooperative liability program for the State of Idaho or Federal Entities. If any coverage required by the Agreement is provided by private insurers or quasi-governmental entities regulated under applicable insurance codes or laws, the insured party shall provide coverage and evidence of coverage as set forth in the Agreement.

Changes falling outside the options above must be coordinated and reviewed with University legal counsel prior to submission to Sponsor.

a. State Law Regarding Indemnification

The University cannot agree to indemnify another party. This is often requested of state entities, but UI cannot comply because of constitutional and statutory limitations per Idaho constitution Article VII, §11 and §13.

Idaho Code 59-1015 prohibits state agencies and officers from entering contracts that create any expense or liability in excess of an appropriation.

Idaho Code 59-1016 states that any such contract is void.

Idaho Code 59-1017 makes entering such contracts a misdemeanor and bars the person authorizing the contract from state employment for four years.

The Idaho Attorney General issued Attorney General Opinion N0. 19-1 where it was determined that state agencies cannot agree to indemnification terms because state agencies do not have authority to approve of an expenditure of public funds. Public funds must be approve by the Idaho legislative and executive branches.
https://www.ag.idaho.gov/content/uploads/2019/11/Opinion-19-1.pdf

b. Intellectual Property Indemnification

The University may receive agreements that require the University to indemnify and warranty another party against patent infringement, copyright infringement, or infringement of any intellectual property rights of a 3rd party. If you see this in an agreement get it removed.

Some entities may require this indemnification and will not agree to remove it. In these cases, coordinate with the Office of Technology Transfer to review the project and see what kind of risk it entails to the university. If the risk is low, the vice President for Research can make a business decision to proceed with the project and accept the contract term. (**NOTE**: *UI's Risk Management department notified OSP that IP indemnification is not covered under the UI risk management program and additional insurance would have to be purchased to cover it. However, a business decision can be made to forgot the insurance. But this must be coordinated with OGC.*)

This risk assessment requires a close look at the IP issues on the project, what methods UI has to mitigate those risks, and the value of the project.

c. Indemnity General & Legal Meaning

In common parlance, indemnity is often used as a synonym for compensation or reparation.

As a legal concept, it has a more specific meaning, namely, to compensate another party to a contract for any loss that such other party may suffer during the performance of the contract. For instance, compensation connotes merely a sum paid to make good the loss of another without regard to the payer's identity, or their reasons for doing so. As the following paragraphs should explain, an indemnity is a sub-species of compensation, in the same way that compensation and reparation are.

The obligation to indemnify differs from the obligation to pay Compensation, or make reparation, in that an obligation to indemnify is a voluntary obligation. If **C** crashes into **B's** car and damages it and the crash is due to **C's** negligence, most legal systems will impose liability upon **C** to pay **B** for the damage caused. **C's** obligation to **B** arises by force of law irrespective of whether **C** subjectively wishes to compensate **B** or not. This is not, therefore, a situation of indemnity; the relationship between **B** and **C** is involuntary. In legal terms, it is a case of tortious (common law) or delictual (civil law) liability.

But, if **A** had a contract with **B** under which **A** agreed to pay for any damage to **B's** car, then **A** paying **B** would be obligatory (even if **A** subjectively regretted the contract at this point). In legal terms, **A's** liability is contractual and the sum paid is an indemnity. The contract just described between **A** and **B** is of course one of automobile liability insurance.

It was stated in the first paragraph that the indemnifying party (**A**) may also be the party responsible for the loss. This is because although **A** will probably have a legal duty to compensate **B** (depending on the rules for damage wrongfully caused in the relevant legal system), **A** may also have a contractual duty to compensate **B**. Such **indemnity clauses** can be found in many contracts aside from those specifically for insurance. For instance, (staying with the automobile theme), a car rental contract may stipulate that the renter will be responsible for damage to the rental car caused by their reckless driving. In other words the renter will indemnify the rental company.

An obligation to indemnity can also be distinguished from a guarantee granted by one party in regard to the potential debts of another. For example **A** might agree to stand guarantor (or surety) for her son **C** (an impecunious law student) so that if **C** cannot afford to pay his rent to **B** (his canny landlord), **A** will be obliged to pay for him. Here, **C** is the one primarily responsible for payment of the rent. **A's** liability is only ancillary. The liability of an indemnifier, properly so-called, is primary. This distinction between indemnity and guarantee was discussed as early as the eighteenth century in *Birkmya v Darnell*.[1] In that case, concerned with a guarantee of payment for goods, rather than payment of rent, the presiding judge explained that a guarantee effectively says "Let him have the goods; if he does not pay you, I will." By contrast, an indemnity is like saying "Let him have the goods, I will be your paymaster."[2]

XXVI. Insurance

The University of Idaho has liability coverage through the state (Idaho Code 6-901 through 6-929). The insurance requirements should be replaced with the following: "The University's liability coverage is provided through a self-funded comprehensive liability plan administered by the State of Idaho Risk Management Program and is subject to the Idaho Tort Claims Act, Idaho Code section 6-901 through 6-929. The combined, aggregate limit of liability for any one occurrence or accident under the State of Idaho Risk Management Program and the Idaho Tort Claims Act is $500,000. The University's liability under this Agreement is limited such that nothing therein shall be deemed to obligate the state of Idaho to any future appropriation of funds in violation of section 59-1016, Idaho Code."

"Evidence of financial responsibility will be provided upon request and will consist of a Certificate of Financial Responsibility.

Questions in regards to the insurance can be directed to the Risk Management (risk@uidaho.edu). **The University does not provide Certificates of Insurance, we provide Certificates of Financial Responsibility**. Please note that this process does take additional time and Risk Management does have forms that must be completed.
For more information and links to documents, see the UI Risk Website:
https://www.uidaho.edu/infrastructure/pss/risk-management/insurancehttps://www.uidaho.edu/infrastructure/pss/risk-management/insurance

a. Insurance Language with State Agencies & Universities

Any agency or state institution that participates in the risk and insurance program of the State of Idaho does not need to exchange a certificate if the contract contains the "sibling wording" below. All state agencies participate in the risk and insurance program of the State of Idaho, including BSU, LCSC, & ISU. However, the community college do not!

> "1. Liability coverage. The parties understand that each is covered with respect to third party tort liability by the State of Idaho, Department of Administration, Risk Management Program utilizing the Retained Risk Account. This is a plan of liability coverage provided by and subject to provisions of the Idaho Tort Claims Act, and the Department of Administration, Risk Management statutes.
>
> 2. Liability allocation of loss history and assessments. The parties agree that any third party tort liability claim, suit or loss resulting from or arising out of the parties' performance of any activities under this contract shall be allocated to one or both parties by the Department of Administration, Risk Management Program for purposes of loss experience and subsequent allocation of agency premium assessments. Each party to this contract agrees to notify the Department of

Administration, Risk Management Program and the other party in the event it receives notice or knowledge of any claims arising out of the performance of, or the parties' activities under this contract."

XXVII. Intellectual Property

a. copyrights

Generally, copyrighted materials developed under a sponsored research agreement remain the property of the faculty member and the definition of Intellectual Property should not include copyrights. Remove any language that forces UI to give up ownership of its copyrights. Sponsors typically include this language to ensure they can use the results or reports that are given to them. Instead of licensing or granting ownership of copyrights, propose the following language:

> All rights in copyright Deliverables created by UNIVERSITY in the performance of the Research Project under this Agreement are the property of UNIVERSITY. UNIVERSITY grants COMPANY (and its Affiliates) a royalty-free, non-exclusive, non-transferable, irrevocable license to reproduce, prepare derivative works, sublicense, perform publicly or display, and distribute copies of Deliverables. "Deliverables" is defined as works of authorship, excluding computer software, first created and fixed in a tangible medium of expression by UNIVERSITY delivered to the COMPANY in the performance of the Scope of Work under this Agreement. The provisions of this Section 4.2 shall survive termination of this Agreement.

If the research is funded with state or federal funds insert the below or something similar. Generally, the entity funding the research with federal or state funds can be granted similar rights that the federal government receives under Bayh-Dole.

> To the extent the Contractor has the legal right to do so, Contractor grants State a royalty-free, non-exclusive, nontransferable, irrevocable license to reproduce, prepare derivative works, and distribute copies of the Deliverables outlined in section 3 for State governmental purposes, and to have or permit others to do so on its behalf. State shall not modify or amend said Deliverables without prior written permission of University. "Deliverables" means original works of authorship, excluding computer software, first created and fixed in tangible medium of expression by Contractor and delivered to State in the performance of Section 3 under this Contract.

The University's policy regarding ownership of copyrights is found in FSH §5300. Under the policy, UI employees and students retain ownership of their copyrights except if the copyright was "UI-Sponsored Material". UI-Sponsored Material is defined in section B-2(b) and can be found here.

In keeping with state law limitations as noted under the indemnification section, UI cannot warrant or guarantee copyrights, results, or data provided to the sponsor. Remove any language that attempts to do this.

Moral Rights – The University does not agree to moral rights. Any reference to this must be removed. Moral Rights is a principle of copyrights under European Law that grants certain rights that stay with the author/creator that are based on moral principles and cannot be transferred or assigned to anyone else. The US generally does not recognize moral rights, except for some situations under VARA (Visual Artists Rights Act, 17 USC 107A). Under VARA, a creator can has rights to attribution and integrity only. But, these rights do not apply to all copyrights. Since the University must retain is copyrights it does not grant moral rights.

b. Patents

State Board of Education policy requires that University of Idaho own all intellectual property produced under sponsored research. The UI SRA language grants the following:

1. ensures UI retains ownership of Project Intellectual Property developed independently by UI;
2. Ensures the sponsor retains ownership of project intellectual property developed independently by sponsor;
3. Gives the parties joint ownership of Project Intellectual Property that the parties develop jointly; and
4. grants the sponsor and option to negotiation a license to any Project IP developed by UI.

Deviations to the UI SRA language for Intellectual Property (all steps after 1) must be reviewed by University legal counsel and OTT prior to submission to the Sponsor. Be sure any revised language is limited to the Statement of Work and protects the PI's ability to do further research and does not fringe other any 3rd party IP rights.

<u>The Bayh-Dole Act.</u> The federal government is very clear that ownership of inventions stays with the university. The Bayh-Dole Act created a uniform policy, for federal agencies that fund research, that allows small business and non-profit organizations, including universities, to own inventions they make under federally funded research programs. Key take-aways of the Bayh-dole Act are:

- Non-profits, including universities, and small businesses may elect to retain title to innovations developed under federally-funded research programs
- Universities are encouraged to collaborate with commercial concerns to promote the utilization of inventions arising from federal funding
- Universities are expected to file patents on inventions they elect to own
- Universities are expected to give licensing preference to small businesses
- The government retains a non-exclusive license to practice the patent throughout the world
- The government retains march-in rights in very specific circumstances

Some universities try to force the UI to grant them a non-exclusive, royalty-free license to any inventions UI makes under a subaward agreement for a federally funded research program with that university. However, this is not appropriate because 37 CFR 401-

14(g)(1) states that "…*the contractor will not, as part of the consideration for awarding the subcontract, obtain rights in the subcontractor's subject inventions*." (FAR 52.227-11(k) has the same language).

Granting NERF is general is not good idea because it dilutes the UI's ability to license that IP to other parties. It could also create issues for competition with the university. Do NOT agree to grant another university or industrial partner a NERF without first consulting the Office of Technology Transfer.

Option for Assignment of University Intellectual Property. An option for assignment of patentable intellectual property may be approved by the Vice President for Research & Economic development. (See "Option for Assignment" for the process and requirements for an OFA). The option for assignment (OFA) was approved in the fall of 2014 by President Staben and authorizes the University to offer a future assignment of IP in specific circumstances.

NOTE: If a contract involves University Background Intellectual Property, additional review and input from the Office of Technology Transfer and University legal counsel will be required.

BIP in Federal Subcontracts with a Industry Sponsor. Authorization & Consent 52.227-1 (Dec. 2007) Alt 1 for R&D.

Work for Hire – The University does not agree to any contract with Work for Hire terms. Strike any such terms for the contract.

According to U.S. Copyright Act and 17 USC sec. 101, "works for hire" is defined as:

> (1) a work prepared by an employee within the scope of his or her employment; **or**
> (2) a work specially ordered or commissioned for use as a contribution to a collective work, as part of a motion picture or other audiovisual work, as a translation, as a supplementary work, as a compilation, as an instructional text, as a test, as answer material for a test, or as an atlas.

As a result of *Stanford v. Roche,* UI policy requires all faculty and staff to sign a waiver assigning their intellectual property rights to the University as "Work for Hire", subject to University policy. Sponsored research generally does not meet the statutory definition of "work for hire" and the University cannot contractually agree to provide work for hire because it would prevent the University researcher from publishing or doing further research.

Non-profits -

c. Software

d. Data

University policy requires the University to retain ownership of data generated under a research agreement. One exception is service agreements where data is provided by the Sponsor. For example, survey data is typically owned by the sponsor of the survey. The University should retain the right to use such data in its normal research, teaching and outreach activities. If the University does not retain ownership, consult with University legal counsel, the Export Control Analyst, and the Vice President of Research. Accepting language that gives the Sponsor ownership of research data may void the Fundamental Research Exemption for export control purposes.

Use caution when negotiating data and use of data because depending on the sponsor, UI may be on the hook for ensuring the data or product conforms to Drug and device application or FDA requirements. University is not in a position to do this.

If a sponsor is concerned about its ability to use the data in the reports insert the language found under the Copyright section. This grants the sponsor the right to use the information in the reports. Be sure UI do not warrant or guarantee the data or results.

XXVIII. Inspection & Acceptance

Do not accept language that conditions payment on inspection or acceptance of the project deliverables. This language could require the university to re-perform the project without compensation for the additional costs.

Agreements with Battelle at Idaho National Laboratory always include language about acceptance of deliverables in the Scope of Work. BEA/INL will not remove that language, but INL does agree to add the following language:

Receiving of deliverables and approval from the BEA Technical Point of Contact is required for completion and final acceptance. Acceptance shall not be unreasonably withheld and shall be determined based on the requirements stated in this release (including all applicable documents).

XXIX. Invoicing

The University remits a standard University invoice. Detail can be provided in the form of a BANNER report. The invoice should be your primary negotiation mechanism with the BANNER report only if the Sponsor will not agree otherwise. We do not provide receipts or copies of receipts. We do not itemize expenditures. In the event a Sponsor requests detail, we can provide the BANNER report for their review, typically this document will provide the information they require.

The University does not traditionally submit the technical report with the invoice. Reviewers should negotiate to have these submitted separately. In the event the Sponsor is requiring additional detail with the invoice and the department has indicated they will

provide the additional detail in the technical report, the report may have to be submitted with the invoice. This is an exception to the standard and should be limited.

The University also does not accept language that provides for penalties in the event of late invoices or reports. Language providing for such options should be removed.

XXX. Non-Compete

The University does not agree to non-compete clauses.

Example: UI shall not perform or seek out any work for another party that could reasonably be expected to conflict or compete with this agreement.

Language such as above is unacceptable to the University. Such articles should be removed from the contract. Any language that limits a PI or the University from soliciting or engaging in other work that may be similar to the work performed under a specific contract must be removed.

XXXI. Notice

Articles regarding provision of notice should always include the Administrative Contacts (OSP). If the Sponsor requests the Technical Contact to be listed, include both.

XXXII. Option for an Assignment

The University does not agree to **present assignments** of IP. The University may offer an **option for an assignment** of patents in limited situations that have the approval of the Vice President for Research. The University cannot agree to a present assignment because the University cannot give what it doesn't have, State Board of Education policy, and potential conflicts with IP rights on other projects. The option to assign is not to be offered to sponsor, but used only as a last alternative in negotiations. The Option for an Assignment can only be given to industry partners that have paid the fully burdened F&A rate. Non-profits, state entities, and the federal government are not eligible for the option.

An option to assign will only be approved if the sponsor is from industry and after review by the VPR, general counsel, and the Office of Technology Transfer. This option must be requested by the Sponsor and will not be offered by the University up front.

If the University is a subrecipient on an agreement that requests assignment of intellectual property the University will want to make sure it is involved with the negotiations of the Prime Award.

Process to Determine if an Option is Viable:

1) **Send email with the scope of work to the Director of OTT, Director of OSP, and Senior Associate General Counsel.**

2) **Send update to the Sponsor – inform Sponsor it can take some time to determine if this is an appropriate course for the University.**
3) **The Directors and General Counsel with work with the VP's to determine if the option for assignment is appropriate.**
4) **Provide backup and answers to questions as needed. Keep the PI informed of the process as well as the Sponsor.**
5) **After a decision is made by the VP, proceed with the negotiations accordingly.**

XXXIII. Parties

An agreement should be entered into between the Sponsor and the **University of Idaho**. Individual employees, Colleges, Institutes and Departments are not parties to agreements for sponsored activity completed through the University. Agreements entered into between a party and a University employee as an individual, are only to be completed by the individual for consulting above and beyond their duties as a UI employee.

Consulting/Outside work completed by UI faculty is governed by specific regulations. The Faculty Staff Handbook (FSH Chapter 3, Section 3260) is clear that any consultant work completed as an individual must not incorporate University resources or conflict with their current employment duties through the University.

University of Idaho, as a party to an agreement, needs to be identified as a public corporation, state educational institution, and a body politic and corporate organized and existing under the Constitution and laws of the state of Idaho. This clarification keeps the contract from a commercial or profit oriented context. The designation used for the University should be identified as 'University', 'Institution' or 'Organization'. 'Contractor' can be used if the University of Idaho is clearly defined as indicated above..

XXXIV. Payment

The Post Award Unit will recommend payment language. This is not the Contract Review Unit's responsibility. If a sponsor wants to change the language or the University recommends different language, get confirmation of any changes to the language from Post Award. It is their responsibility to determine if this language is acceptable or to offer alternative language.

Do not agree to payment terms that limit Payment University's payment if the Sponsor being paid or that prevent the University from being paid until after University has met its cost share obligations. See the language in the "Flow Through Loss Provisions" section for more information and specific language.

Do not agree to language that permits the Sponsor to withhold a percentage of each invoice until the end of the project period. This creates problems with the BANNER AR records. UI may agree to language that says a Sponsor will withhold a percentage (such

as 10%) of each until if a required report is not received, but that the withheld amount will be paid when the report is received.

Contract Type	Contract Payment Language
Fixed Price	Compensate
Cost Reimbursable	Reimburse

Agreements with Industry

Agreements with Industry Partners that UI has not worked with before or where there is concerns about Partner's financial stability or ability to make payment will have more stringent payment terms. The University must receive request at least ½ of the project funds up front upon execution of the agreement. If a Sponsor declines to provide an up-front payment, then acceptance of the contract without the advance will be at the risk of the department/college. Work will not commence until payment is received if the sponsor is an Industry Sponsor and:

Cost-Reimbursable Contracts

The Post Award Unit is responsible for recommending payment terms for research agreement. The CRO the drafts the language according to Post Award's recommendations. The best language to use is the current language in the University's Standard Research Agreement (see SRA § 3). If the Sponsor rejects the language initially recommended by Post Award, work with Post Award to find different language or modify the language suggested by the Sponsor.

Fixed Price Contracts

If the contract is fixed price UI is will to accept the following payment schedules:

- 50/40/10 (best)
- 50/35/15 (better)
- 50/30/20 (okay)

Talk to the Post Award Unit if a payment schedule differs from the above. For Fixed Price Agreements, work not funded beyond the initial payment will not proceed until an additional installment is received.

a. PROBLEM CUSTOMERS

This list is of companies that the University has had issues collecting payment from. UI will not begin working on projects with these entities until the first payment is received.

Alcyone
Johnson & Johnson
Qatar Foundation
Vorsana (Deb, Deans, and VPR must give approval to work with Vorsana! Major issues with this sponsor.)

XXXV. Proprietary Information

Industry Sponsors often share their Proprietary Information with University researchers. The University is subject to the Idaho Public Records Act which requires disclosure of information. However, it includes a limitation on disclosure of company proprietary information. Be sure the Idaho Public Records Act is included in the agreement to allow and put the Sponsor on notice about public disclosure requirements and protections they have. ***NOTE: Public records requests must be responded to within three days!

Proprietary Information can raise issues with export controls. Consider adding language to the agreement such as the following:

> Sponsor confirms that any Proprietary Information it discloses does not contain export controlled technology or technical data identified on any U.S. export control list.
>
> Sponsor will inform University in writing 30 days prior to the release of export controlled technology or technical data. Sponsor agrees not to provide any export controlled information to University's Principal Investigator without the written agreement of the University.

Coordinate with the Export Control Analyst if the Sponsor indicates it will disclose or intends to disclose export controlled information.

XXXVI. Publication

The University **MUST** retain the right to publish. This right **MUST** be unrestricted and should not be dependent upon approval of the Sponsor.

As a state institution of higher education our primary mission is to inform the public. Academic freedom is key to the advancement of science and technology. Publication advances faculty to tenure and prominence in their field of study and is required for students preparing their thesis or dissertation.

Publication restrictions created problems for export controls. (See Export Controls for more information about why publication restrictions are problematic.) **Be aware that no publication restriction ≠ No export concerns,** which is a good thing**.**

Language that requires the university to get "approval" before publishing is not acceptable. The University can agree to language that says the Sponsor has a right to review and comment on any proposed publications. But, the University cannot be required to act on the comments provided.

Example of bad language: *University shall provide sponsor with a copy of any proposed manuscript or oral presentation for review & **approval** at least 60 days prior to planned submission for publication. Sponsor shall notify University within 30 days of receipt of such material whether they contain Sponsor's Proprietary Information.*

See UI's Standard Research Agreement for an example of good language.

Negotiation strategies for Publication:

1) Replace with UI SRA Publication language
2) Change "approve" to "review" and indicate the University will remove confidential and proprietary information at the sponsor's request – Be sure to define Confidential and Proprietary
3) Publication delay – this will need approval by the PI, Chair, VPR and possibly the Graduate School

XXXVII. Publicity

The University does not endorse companies or products. The use of the University of Idaho logo, name, or image is strictly prohibited unless approval is gained through the University.

If you have questions about any publication or promotional requirements in a contract contact the UI Communications & Marketing team for assistance.

XXXVIII. Purchase Orders or Confirmation Orders

A sponsor may issue a Purchase Order, Confirmation Order, or other funding document to issue payment to the University. The problem these documents raise is they almost always include additional contract terms and conditions that the University accepts by signing the document or drawing down the funds. The terms and conditions generally include terms that the University cannot accept and were already negotiated out of the research agreement. To avoid problems with these funding documents, insert the below language in every contract.

"The Parties agree that any purchase order or similar document issued by Sponsor will be for the sole purpose of establishing a mechanism for payment of any sums due and owing under this Agreement. Notwithstanding any of the terms and conditions contained in said purchase order, the purchase order will in no way modify or add to the terms and conditions of this Agreement."

Insert the below in place of the terms and conditions in a purchase order/funding document if the research agreement doesn't include limiting language like the above.

"This purchase order is subject to the terms and conditions of the [insert name of the agreement] effective [insert effective date] and any amendments made to the [name of agreement]. No provisions contained in any standard form document issued by either party, including but not limited to any purchase order or confirmation order, will be applicable, even if signed by the Parties. Additional provisions many only be binding upon the Parties if executed in a separate document expressly modifying the [insert name of agreement] to include such provisions."

XXXIX. Purpose

Each agreement should identify the purpose of entering into an agreement. In addition to financial consideration, the purpose of the agreement must appropriately correspond to the mission of the University. Each agreement, therefore, must include a purpose respective to the University's mission, such as the advancement of science, provision of knowledge, or education of students. The University Standard Research Agreement (UI SRA) indicates "the research is consistent, compatible and beneficial to the academic role and mission of University as an institution of higher education." The consideration is therefore the advancement of the role and mission of the institution. However, the individual reviewing the agreement must determine if the purpose identified is in alignment with the University mission.

XL. Record Retention

Per Federal, Idaho state law, and University policy, the University must keep records for three (3) years after the completion of the award. If an agreement contains language that states the University must keep records longer than three (3) years, try to negotiate it out.

Federal law: **2 CFR 200.334** "Financial records, supporting documents, statistical records, and all other non-Federal entity records pertinent to a Federal award must be retained for a period of three years from the date of submission of the final expenditure report or, for Federal awards that are renewed quarterly or annually, from the date of the submission of the quarterly or annual financial report, respectively, as reported to the Federal awarding agency or pass-through entity in the case of a subrecipient. Federal awarding agencies and pass-through entities must not impose any other record retention requirements upon non-Federal entities." (see CFR for exceptions).

State law: Idaho Public Records Act: https://legislature.idaho.gov/statutesrules/idstat/title74/t74ch1/; Record retention matrix provided by the state of Idaho (specifically, pg. 19 "Non-Federal Grants"): https://history.idaho.gov/wp-content/uploads/State-of-Idaho-General-Records-Retention-Schedule.pdf

UI policy: UI's APM 65.02: https://www.uidaho.edu/governance/policy/policies/apm/65/02

XLI. Relation of Parties

The University is an independent party and shall in no way be deemed as a business partner, joint venture or partnership in relation to the sponsor.

All language associated with partnering, partnerships or partners must be removed. Terminology such as collaborate or collaborator should be used in its place.

XLII. Remedies

UI cannot agree to language that grants specific performance, declaratory or injunctive relief, etc.

XLIII. Scope of Work

The Scope of Work should be definitive enough that in the event a dispute due to incomplete work or failure to perform were to arise, that the claim could be verified or disputed based upon the Scope provided in the agreement; and, that amounts owed can be tied specifically to work performed and identified within the Scope of Work.

Example: *Participate in collaborative effort to advance water conservation in the Pacific Northwest*. **Not Acceptable.**

Collaborate in water conservation research within the PNW including attendance at four regional meetings, conducting eight surveys of water use in counties within the region, collecting and analyzing survey data, preparation of final report to Sponsor in regards to results. **Acceptable.**

XLIV. Signatures

If an agreement or other document requires signature by the President of the University the agreement or document must be sent to General Counsel for approval first.

XLV. Standard of Care

The University shall use **reasonable efforts** to complete the scope of the work. Since the University is not a commercial entity, we do not agree to Highest Professional Standards, Industry Standards, Strict Liability, or Expert Standards. 'Best Effort' without including reasonable is acceptable in agreements unless the agreement involves patient enrollment. Use the following language:

"University shall perform the Services in a manner consistent with the quality of that degree of care, skill, and judgment that is consistent with generally accepted standards for similar types of engagements by institutions of higher education, but in no event less than reasonable care, skill, and judgment."

XLVI. Student Education Activity Agreements (SEA's)

Purpose: to provide hands on experience for students to work directly with an industry sponsor. As such, these agreement allow assignment of any Intellectual property provided the student agrees to sign an Intellectual Property Waiver.

Watch out for:

1. Any attempts to modify the standard SEA agreement. Modifications can only be made with authorization from the Director of OSP.
2. Work that requires active and consistent participation by the Faculty Member. SEA's should not be used as a means for industry to get IP. The project should strictly be between the student and the sponsor; the Faculty Member should only provide occasional input on the project.

XLVII. Social Security Numbers & Other Student Information

FERPA requires student information, including social security numbers, to be kept from public disclosure. Student information may be disclosed if the student signs a waiver authorizing the disclosure.

If a contract requires disclosure of student information, make every effort to get it removed. If the sponsor will not remove the provision get approval from the Director of OSP, General Counsel, and the Department before agreeing to provide this information. The Department needs to be aware of the requirements and risks before agreeing.

If the Sponsor will not remove the SSN provision, work with the Department and General Counsel to get a waiver signed by the students. FERPA only allows UI to release SSN's with the approval of the student. If the student does not give approval the information cannot be provided. In some situations, it may be best to provide notice to the students that by participating in the project they are authorizing the University to disclose their SSN's. Work with General Counsel on this as seen fit by the situation (ex. grant is funding college courses). Work ITS to find a secure method to provide the information to the sponsor.

The student information should only be provided occasionally (once a year for multi-year projects or at the end of the project period).

XLVIII. Sovereign Immunity

The University is a state entity and has limitations established by state law that is must abide by. Include a sovereign immunity clause in all contracts to serve as a reminder and give notice to contracting entities that the University is a state entity and must abide by the limitations of the law. In addition, a sovereign immunity clause will highlight the fact that there are only certain claims that the State or a State Employee may be sued for. Use the following language:

"Sovereign Immunity. Nothing in this **Agreement** shall be construed as a waiver or diminishment of the inherent sovereign immunity of the State of Idaho or of the **University of Idaho**, a public corporation, state education institution, and a body politic and corporate organized and existing under the constitution and laws of the State of Idaho."

XLIX. Tax-exempt Status & Tax-exempt Bonds

The University is a 501(c)(3) and therefore exempt from paying taxes. However, if the University engages in commercial activity the University can be required to pay tax on the money received from the commercial activity. This is especially a problem for situations where the University assigns ownership of Intellectual Property to a Sponsor.

General Counsel is drafting a manual for tax-exempt bond compliance for the University. Until it is available, the Carnegie Mellon guide and North Carolina State University Guide are good places to start.
http://www.cmu.edu/osp/contracts/contracts-process/negotiate/facilities.html

L. Travel

Be sure the university's travel policy applies. Some states or entities may try to require the university to follow their policy. Work hard to get these agency/state specific policies removed and replaced with University policy instead. The State of California requires this and will change it. Notify Post Award of this so they can notify the PI and be aware of the different restrictions.

If the contract includes travel with equipment to foreign countries this could be violation of export control laws. Work with the Export Control Analyst to resolve.

LI. Term

Start and End Dates need to be clearly defined. Post Award is responsible for reviewing this term before sending a contract to the Contract Review Unit. Does the University need pre-award cost allowance in the agreement? Are the dates conducive to students working on the project? Note: Whenever possible, milestone or task dates should be included within the Scope of Work

LII. Termination

The University prefers the right to terminate to be mutual and with notice. Termination should also include payment for all non-cancelable commitments associated with the project. Since research is not guaranteed, the University should also not be held liable for completion of the work by someone else. Plus, UI may be subject to continued funding by the state of Idaho

Negotiation strategies for Termination:

1) Change from sponsor can terminate to both parties can terminate. The University typically requests 30 days notice.
2) Replace with UI SRA Termination language
3) Replaced with State funding language below.

State funding language – modify as needed.

"It is understood and agreed that University is a governmental agency and this Agreement shall in no way be construed so as to bind or obligate the state of Idaho beyond the term of any particular appropriation of funds by the State Legislature of the federal government as may exists from time to time. The University reserved the right to terminate this Agreement if, in its sole judgement, the legislature of the State of Idaho or the federal government fails, neglects, or refuses to appropriate sufficient funds as may be required for University to continue payment [or performance] or required any return or "give-back" of funds required for University to continue payments, or if the executive branch of the State of Idaho mandates any cuts or holdback in University's spending. Any such termination shall take effect on 30 days' prior notice and be otherwise effective as provided in this Agreement."

LIII. Time is of the Essence

Timing of research cannot be guaranteed. This language should be deleted and if needed replace with the language from the "Standard of Care" clause.

LIV. Warranty

The University does not warrant but can state or represent. We do not accept language from a sponsor requesting us to warrant or that would require the University re-perform without additional compensation. If a Sponsor is requesting that we warrant the individual signing is the authorized individual, we will agree to this. Exceptions to agreeing to warranty provisions should be discussed with University legal counsel.

The University has received approval from the State Risk Management to agree to warrant against intellectual property infringement. However, this is only in special causes and should only be agree to with the approval of the VPR because the University must get insurance for this and the costs of policies begins at $20-50,000. This warranty will only be approved in situations where the benefits are balanced by or exceed the costs to the University.

It is best to replace warranty clauses with language such as the following:

"University shall to the best of its knowledge …"; or
"University shall perform with its reasonable best efforts…"

LV. Workman's Compensation

University of Idaho is self-insured for Workers Compensation. All contracts the University enters into are subject to audit by the Idaho Industrial Commission. The University pays a premium tax if it works with any companies that are NOT INSURED for Workers Compensation, or for whom the University cannot produce evidence of

Workers Compensation. The University may also become liable for workers compensation for uninsured companies it enters into agreements with. Strike any language that requires the University to add the company/contractor to the state's insurance coverage. **Insert wording that requires the company/contract to obtain its own Workers Compensation language and to provide proof of this. Contact Risk Management with questions.**

The University can provide a certificate of workmans compensation by emailing the UI Risk Management team or Aon (the company that provides this coverage for UI).

*Request for Workers Compensation certificates are made by utilizing the "Certificates of Financial Responsibility" request form available at: https://www.uidaho.edu/infrastructure/pss/risk-management. Under "Type Cert" check "Other." Then describe the request in the bottom box as being for a Workers Compensation certificate. Certificate will be issue from the day of the request (no earlier dates allowed), and must be limited to the current fiscal year.